



TOPIC 8

The Business Plan: Road Map to Success

Chapter Learning Outcomes

1. Define a business model
2. List the components of a business model
3. Describe business model framework
4. Develop/prepare a Business Model Canvas for own business idea.
5. Identify primary business plan contents.
6. Summarize the various purposes for a business plan and the audiences for one.
7. Differentiate the components of a business plan.
8. Recognize and demonstrate proper development and formatting of a business plan.

Creating a Business Model Canvas

Business Model - a company's plan to generate revenue and make a profit from operations.

The canvas includes nine core building blocks that are intended to supply answers to critical questions. These building blocks are meant to be implemented in the company.

Creating a Business Model Canvas

- 1. Customer Segments (CS): the consumers for whom the company creates value**
 - a. Mass market—large, broadly similar group of customers
 - b. Niche market—narrow, specialized, specific
 - c. Segmented market—groups with slightly different needs and problems
 - d. Diversified markets—segments that aren't related and have very different needs
 - e. Multi-sided markets—generally are composed of supplier and customer segments that are all served

Creating a Business Model Canvas

2. Value Proposition (VP): the reason customers select the products/ services

- a. Newness
- b. Performance
- c. “Getting the job done”
- d. Design
- e. Brand/status
- f. Price

Creating a Business Model Canvas

- g. Cost reduction
- h. Risk reduction
- i. Accessibility
- j. Convenience/usability

3. Channels (CN): how the company reaches and communicates with customer segments

- a. Own channels versus partners
- b. Direct (sales force, Web sales, own stores) versus indirect (partner stores, wholesalers)

Creating a Business Model Canvas

- 4. Customer Relationships (CR): types established through consumer segments reached**
 - a. Personal assistance
 - b. Dedicated personal assistance
 - c. Self-service
 - d. Automated services
 - e. User communities
 - f. Co-creation

Creating a Business Model Canvas

5. Revenue Streams (R\$): how funds are generated

- a. Asset sales
- b. Usage fee
- c. Subscription fees
- d. Lending/renting/leasing
- e. Licensing
- f. Brokerage fees
- g. Advertising fees

6. Key Resources (KR): that which is critical to making the model function

- a. Physical
- b. Financial
- c. Intellectual
- d. Human

Creating a Business Model Canvas

7. Key Activities (KA): critical actions for success

- a. Production
- b. Problem solving
- c. Platform/network

8. Key Partnerships (KP): the particular suppliers and partners needed in the network

- a. Strategic alliances between non-competitors
- b. Cooperation (strategic alliances between competitors)
- c. Joint ventures
- d. Buyer–supplier relationships

9. Cost Structure (C\$): all costs of operations

What Is a Business Plan?

Business Plan - a document that thoroughly explains a business idea and how it will be carried out.

The plan should include the following:

- the story of what the business is and will be,
- all costs and a marketing plan,
- description of how the business will be financed, and
- an estimate of projected earnings.

Why Do You Need a Business Plan?

- Whether you are planning a microenterprise with virtually no start-up costs or a multimillion-dollar venture, you will find a business plan an essential tool.
- A plan can also help you determine on paper whether your business is viable before you make mistakes in the real world—allowing you to adjust accordingly.
- The business plan is vital to current and proposed businesses as a guide to operations and direction, which can be modified as the organization evolves.

Writing a Business Plan Early Will Save You Time and Money

Before you serve your first customer, you will have answered every question you can think of.

- How much should you charge for your product or service?
- What exactly *is* your product or service?
- What is one unit of sale?
- What will your costs be?
- How are you going to market your product or service?
- How and where will you sell it?
- Figuring all this out in advance will save you time and money.

Writing a Business Plan Early Will Save You Time and Money

Business Plan Software Packages:

- Business Plan Pro® (Palo Alto Software, <http://www.BusinessPlanPro.com>). There is also a Social Enterprise Edition and LivePlan available.
- BizPlan.com (by the Go BIG Network team, <http://www.bizplan.com>).
- Plan Builder (JIAN, <http://www.BizPlanBuilder.com>).
- Business PlanMaker Professional (Individual Software, Inc.).
- Ultimate Business Planner (Atlas Business Solutions, <http://www.abs-usa.com>).

Your Business Plan Is the Key to Raising Capital

As mentioned, bankers and other potential investors will refuse to see an entrepreneur who does not have a business plan (unless the loan or investment you are seeking is very small).

The financial projections should be realistic and attainable.



Writing a business plan will allow you to address all angles of your business idea.

The Business Plan Is an Operations Guide

- Whether or not you need to raise capital, a business plan will be a vital tool for guiding the internal operations of your enterprise.
- Business owners and managers increase the probability of success by taking the plan in their heads and committing it to paper.
- With your business plan as your benchmarking tool, you can compare your company's progress to your stated plan.

Business Plan Components

Exhibit 2-1 *Business Plan Outline*

Cover Page

Table of Contents

1.0 Executive Summary

2.0 Mission, Vision, and Culture

3.0 Company Description

4.0 Opportunity Analysis and Research

4.1 Industry Analysis

4.2 Environmental Analysis

4.3 Competitive Analysis

Exhibit 2-1 *Business Plan Outline (cont.)*

5.0 Marketing Strategy and Plan

5.1 Products/Services

5.2 Pricing

5.3 Promotion

5.4 Place

6.0 Management and Operations

6.1 Management Team

6.2 Research and Development

6.3 Physical Location

6.4 Facilities

6.5 Inventory, Production, and Quality Assurance

Business Plan Components

Exhibit 2-1 *Business Plan Outline* (cont.)

7.0 Financial Analysis and Projections

7.1 Sources and Uses of Capital

7.2 Cash Flow Projections

7.3 Balance Sheet Projections

7.4 Income Statement Projections

7.5 Breakeven Analysis

7.6 Ratio Analysis

7.7 Risks and Assumptions

8.0 Funding Request and Exit Strategy

8.1 Amount and Type of Funds Requested

Business Plan Components

Exhibit 2-1 *Business Plan Outline* (cont.)

8.2 Exit Plan

8.3 Milestones

Appendices

Resumes

Sample Promotional Materials

Product Illustrations/Diagrams

Detailed Financial Projections

Business Plan Components

Cover Page and Table of Contents

- *The cover page should be professional, neat, and attractive*

Executive Summary: A Snapshot of Your Business

- *The executive summary has to be compelling and comprehensive.*

Mission and Culture: Your Dreams for the Organization

Each company has the opportunity to create its own unique mission, vision, and culture.

- **mission** - a concise communication of strategy, including a business definition and explanation of competitive advantage.
- **mission statement** - a brief, written statement that informs customers and employees what an organization's goal is and describes the strategy and tactics to meet it.

Mission and Culture: Your Dreams for the Organization

Vision - a broader and more comprehensive perspective on an organization than its mission; built on the core values and belief systems of the organization.

Culture - the beliefs, values, and behavioral norms of an organization.

Company Description—Background and Track Record

- If the **company is already established**, is a franchise, or is the reincarnation of a previous business, there will be a history to share with the reader of the plan.
- If this is **a start-up venture**, this section should describe briefly the background story of the company, explaining what you have done thus far and why you have done it.
- The **legal form of the business** (sole proprietorship, corporation, LLC, partnership) should also be noted.

Opportunity Analysis and Research—Testing Ideas

Industry analysis - a critical view of industry definition, industry size and growth (or decline), product and industry life cycle, and any current or anticipated legal or regulatory concerns.

Environmental analysis - a review that addresses the roles of the community, region, nation, or the rest of the world, as they relate to a business.

Proof of market - an investigation that provides evidence of a market opportunity.

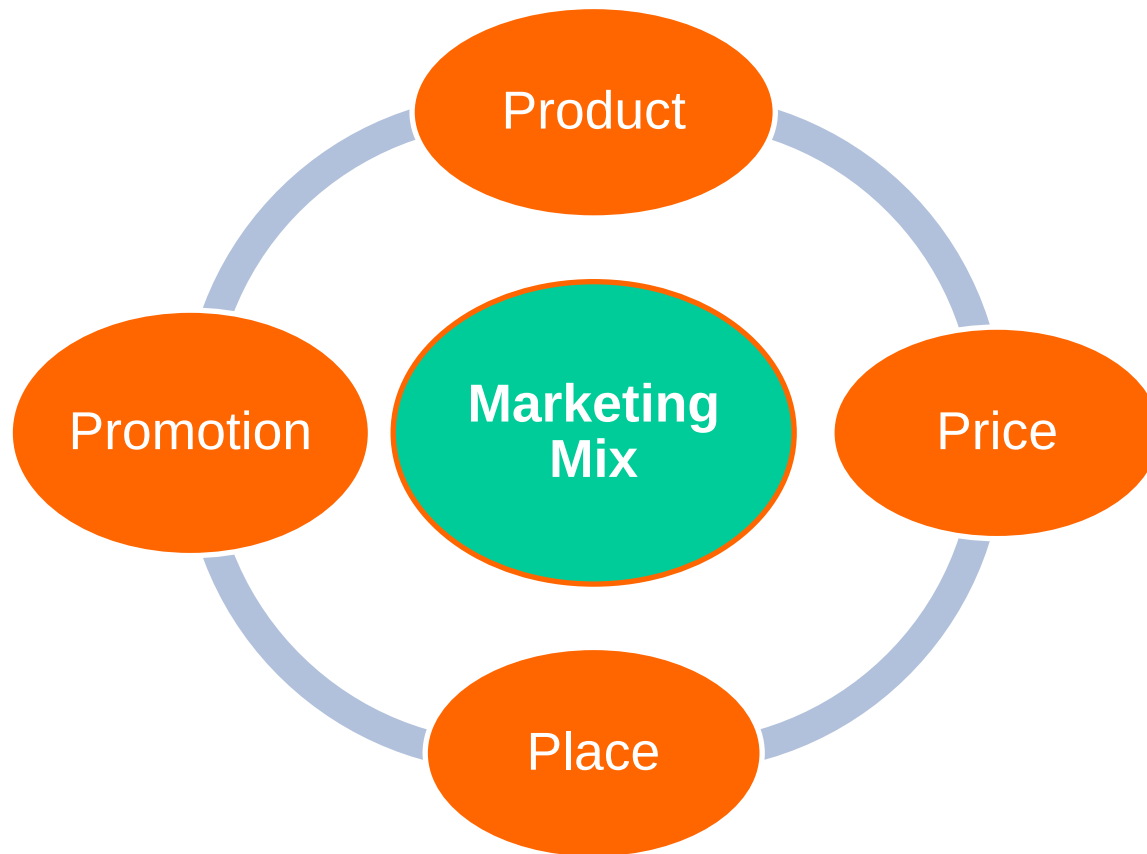
Opportunity Analysis and Research—Testing Ideas

Target market - groups defined by common factors such as demographics, psychographics, age, or geography that are of primary interest to a business.

Competitive analysis - research that compares an organization with several direct and indirect competitors by name in a manner that is meaningful to targeted customers.

Marketing Strategy and Plan: Reaching Customers

Marketing mix - the combination of the four factors: product, price, place, and promotion—that communicates a marketing vision.



Marketing Strategy and Plan: Reaching Customers

- **Products/Services.** The product or service should meet or create a customer need.
- **Pricing.** The product or service has to be priced so that your target customers will buy it and the business will make a profit.
- **Promotion.** Promotion consists of advertising, publicity, and other promotional methods, such as discount coupons or giveaways.
- **Place.** This is the venue from which you will sell and distribute your product.

Marketing Strategy and Plan: Reaching Customers

Marketing plan - a statement of the marketing goals and objectives for a business and the intended strategies and tactics to attain them.

Advertising - paid promotion through media outlets.

Public relations - community activities that are designed to enhance an organization's image.

Publicity - free promotion.

Direct marketing - includes telemarketing, direct mail, in-person selling, and other personalized promotional efforts.

Management and Operations: Making the Plan Happen

The people you hire and the processes you plan to implement will be an essential part of your business plan. This is where the rubber meets the road in the planning process.

- The management team is often the deciding factor for a potential investor's decision to financially support a business.
- The team must be composed of an effective balance of members with technical expertise (e.g., engineering, marketing, accounting, and operations), experience in the field, and life experience.

Management and Operations: Making the Plan Happen

The description of the physical location is similar to the discussion of *place* in the marketing mix but with the emphasis on logistics and workforce readiness.



The facilities and equipment for your business should be planned with the management team.

Financial Analysis and Projections: Translating Action into Money

Sources
and uses of
capital

Income
statements
for three
years

Cash flow
projections

Breakeven
analysis

Balance
sheet
projections

Ratio
analysis

Risks and assumptions

Financial Analysis and Projections: Translating Action into Money

Cash flow statement - a financial statement showing cash receipts less cash disbursements or a business over a period of time.

Balance sheet - a financial statement summarizing the assets, liabilities, and net worth of a business.

Asset - any item of value.

Liability - a business debt.

Net worth - the difference between assets and liabilities.

Financial Analysis and Projections: Translating Action into Money

Owner's equity - net worth.

Income statement - a financial document that summarizes income and expense activity over a specified period and shows net profit or loss.

Profit and loss statement (P&L) - an income statement.

Breakeven point - when the volume of sales exactly covers the fixed costs.

Funding Request and Exit Strategy: The Ask and the Return

The exit strategy is the way in which you and/or your investors expect to leave the company someday in a planned and orderly way.

Initial Public Offering (IPO) - first offering of corporate stock to investors on the open (public) market.

Appendices: Making the Case in Greater Detail

- The appendices will provide you with an opportunity to strengthen your business plan with examples and details that are not critical for inclusion in the main portions.
- Each appendix should be numbered and placed in the plan according to the order of reference in the text.
- The appendices should be listed in your table of contents.

Business Plan Suggestions

As you put together your business plan, a number of guidelines and suggestions can help you get the most value for your time and effort.

- Write for your audience
- Show that you have skin in the game
- Be clear and concise
- Use current data and reports for your industry
- Choose a voice and stick with it
- Use a consistent, easy-to-read format
- Number and label
- Present it professionally

Presenting Your Business Plan

A written business plan is only one component of the business-planning process.

- Business plan presentations may be formal or informal, and you may have anywhere from a few minutes to a couple of hours for the complete presentation and discussion.
- Presentations to venture capitalists may be limited to as little as 5 to 20 minutes.

Elevator Pitch - a 30-second to 2-minute presentation that conveys in an engaging way what a business is proposing and why the listener should be interested.

Presenting Your Business Plan

Exhibit 2-6 *Venture Presentation Tips*

Timing	• Be prompt and ready to start on time. • Use the entire time allocated and use it productively.
Audience	• Know your audience and tailor the presentation accordingly. • Establish rapport with the audience.
Presentation Style	• Dress appropriately and maintain a professional demeanor. • Be enthusiastic, but not artificial or arrogant. • Use proper pronunciation and language.
Presentation Contents	• Create a “hook” to capture the audience quickly. • Hit the highlights without going into excessive detail. • Keep it simple by emphasizing key points and avoiding technical jargon and acronyms that will lose your audience’s interest. • Use visual aids, such as slides and sample or prototype products, to reinforce your message without distracting from it. • Emphasize the benefits of the opportunity so that they are absolutely clear to the audience. • Conclude with a “Thank You.”
Follow-Up	• Expect and prepare for questions. Be thoughtful and positive in your responses. • Contact each audience member to move toward your goals.

Source: Adapted from Thomas W. Zimmerer and Norman M. Scarborough, *Essentials of Entrepreneurship and Small Business Management*, 5th ed. (Upper Saddle River, NJ: Prentice Hall, 2007).

Business Plan and Venture Competitions

Numerous business plan and venture-funding competitions are held each year for young people, undergraduate students, graduate students (primarily MBAs), and nonstudent professionals. In Botswana these include JAB, JAA, etc.

- Many business schools and classes hold internal competitions and then advance winners to regional, national, and even international events.
- Prizes may range from \$500 to financing and professional-services packages worth millions.